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Author(s): Michelle L. Roehm and Michael K. Brady

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# Consumer Responses to Performance Failures by High-Equity Brands

MICHELLE L. ROEHM
MICHAEL K. BRADY*

Two experiments explore conditions that mitigate negative customer reactions to high-equity brand failures. Results indicate that such brands fare best when responses are timed immediately after the failure and when the failure is severe or there is substantial distraction present in the environment. When any of these conditions are absent, high-equity brand evaluations appear to be adversely affected by a performance lapse. Implications, particularly for service brands, are discussed.

Unfortunately, well-respected and highly esteemed brands sometimes fail their customers. Most of us have had the experience of purchasing something from a venerable brand, only to find that the product is inoperable after removing it from the package. Or we have endured the behavior of an indifferent or unknowledgeable staffer during a busy shopping season at stores such as Macy's or Best Buy. Even entrenched brands with sizable market shares are not immune to performance lapses. For example, witness the trouble Dell has recently encountered after apparently delivering subpar customer service assistance (Lee and Thornton 2005).

Customer reactions to performance lapses include feelings of stress, irritation, annoyance, and even anger (Hui and Tse 1996; Smith and Bolton 2002; Taylor 1994). Moreover, when the failed brand possesses high a priori equity, consumers' adverse reactions may escalate, as frustration is compounded by the high expectations attached to brands of strong stature. Viewed from a management perspective, such negativity may be particularly worrisome because it puts at risk a valuable brand asset and the investment of financial resources that produced it.

Given these observations, a relevant question is therefore what conditions, if any, might serve to "soften the blow" or, in other words, mitigate customers' negative responses toward a failure from a high-equity brand. This issue is at the center of the present research.

## CONCEPTUAL BACKGROUND

As foundation for further discussion, we begin by making explicit our definition of a high-equity brand. We draw upon a "customer-based" conceptualization of brand equity to characterize high-equity brands as those for which consumers possess substantial knowledge structures that often include associations that are both readily accessible and positive in valence (Aaker 1991, 1996; Keller 1993, 1998). By these criteria, Disney would constitute an example of a brand with strong equity for many consumers, because favorable associations may be available in long-term memory after personal experiences and/or exposure to heavy advertising campaigns and other communications on behalf of the very prominent Disney brand.

Branding theory suggests that the cache of positive associations enjoyed by a high-equity brand predisposes favorable responses to it (Keller 1998). However, a silent caveat to that observation is that it may apply primarily to situations where brand performance is acceptable. By contrast, there is reason to believe that extant flattering associations may work against a brand in the wake of a performance error. It has been observed that a high-equity brand's favorable associations lead customers to expect strong utilitarian and hedonic benefits (Chandon, Wansink, and Laurent 2000). As such, a failure by such a brand may engender particularly keen disappointment. When this occurs, a position of strong equity may backfire and create an especially negative response to the performance disruption. This, in turn, may tarnish the consumer's view of the formerly admired brand.

*Michelle L. Roehm is associate professor of marketing and the Board of Visitors Fellow in Marketing at the Babcock Graduate School of Management, Wake Forest University, Winston-Salem, NC 27109 (michelle.roehm@mba.wfu.edu). Michael K. Brady is associate professor of marketing, College of Business, Florida State University, Tallahassee, FL 32306 (mbrady@cob.fsu.edu). The authors wish to thank Jennifer Aaker, Sheri Bridges, Peter Darke, and James Maxham for their helpful comments on previous drafts of this article, and the associate editor and reviewers for exceptionally constructive suggestions during the review process.

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The nefarious possibility that looms in such circumstances is that the consumer's evaluation of the brand will be reconsidered and downgraded to reflect the negative observations arising from the failure. When this happens, a high-equity brand may experience a painful erosion of its equity with the consumer. This logic is consistent with that of paradigms such as disconfirmation of expectations (Oliver 1977, 1980) and the gaps model of service quality (Boulding et al. 1993; Parasuraman, Zeithaml, and Berry 1985), which imply that dissatisfaction and poor quality perceptions may be engendered by performances that fall short of expectations.

Nevertheless, although such a dire drop in equity may be likely in many circumstances, we propose that it is not inevitable. As we discuss below, dissection of the consumer failure experience suggests some potential means by which the effects of failure on a high-equity brand's stature might be blunted.

## The Experience of Failure

Insights into a consumer's experience in grappling with a brand failure may be gained by considering a hypothetical example of dealing with a flight delay. Imagine that you are making a trip and arrive at your gate only to learn that departure has been delayed. What mental processes might this unwelcome piece of news engage? Research in the services literature suggests that service failures, and delays in particular, invite consideration of issues such as what the nature of the problem is, how far away the end goal remains, and whether the service will be completed (Hui, Thakor, and Gill 1998). Thus, upon encountering the flight delay announcement, myriad questions may swirl in your mind: What caused the delay? How will it be rectified? What is the revised departure estimate? What assurance is there that the new time will be honored? The stress of the situation is also likely to invite consideration of coping mechanisms (Duhachek 2005), especially if it seems that the delay will be lengthy. Thus, you might consider making phone calls to reschedule meetings at the destination. You might also weigh the option of grabbing lunch in the airport and buying a magazine to kill time. You might even ponder rebooking on another flight and/or searching for a hotel reservation, if you suspect the initial flight will ultimately be canceled.

We suggest that, in addition to serving instrumental purposes of helping you to understand and deal with the flight delay, this gaggle of thoughts may also hold side benefits for any high-equity brand that might be associated with the delay. What is important to note is that the rush of questions and plans brought on by the recognition of the failure may occupy available mind space that could otherwise be spent assigning blame and reevaluating the perpetrating brand in ways that may be detrimental to its equity. More generally, we propose that in the moment of failure realization, cognitive resources may often be assigned to activities related to understanding and coping with the problem. In theory, this may thus provide a temporary buffer that protects the focal brand. It should be stressed that this buffer is likely to be short-lived. Once the problem is understood and coping begins, it may dissipate, and the negative reevaluation may commence. Yet, for a brief window of time, the brand may at first remain unharmed.

If this account of a consumer's reaction to failure is accurate, it suggests some intriguing possibilities regarding protection of high-equity brands. The first is that immediacy may be a very useful defensive tool. That is, if the performance issue could be resolved while the consumer is still processing its details and ramifications and before s/he is able to devote substantial cognitive resources to condemning and reproaching the brand, then negative brand reevaluation might be softened. However, if the episode drags on, such that the consumer has ample opportunity to understand the mistake, launch coping initiatives, and also to reevaluate the brand, brand equity may be damaged as described earlier.

The implication is that a quite different and more positive opinion may be expressed about a failed high-equity brand at the moment of failure versus later, after reevaluation has been accomplished. Whereas the later evaluation may reflect a relatively negative view of the brand, driven by disappointment in the brand's inability to deliver on expectations, an immediate evaluation may portray the high regard for the brand that was held prior to the failure incident.

Another fascinating implication of the foregoing discussion relates to the severity of the failure or, in other words, the magnitude of a failure episode. Failures range from relatively minor (e.g., a flight delay of less than 2 hours) to extreme (e.g., a delay of many hours, accompanied by other incompetencies, such as lost baggage and rude gate agent behavior). Generally speaking, the more severe the failure is, the more necessary coping responses become, the more involved a consumer may become with them, and thus the more attention that may be diverted from brand reevaluation. For instance, a short flight delay might in some cases be something that can virtually be ignored, whereas a multihour delay may require a complete revamping of one's slate of activities in the destination city. Further, larger failures may be especially likely to activate emotions such as anger and anxiety, which also usurp cognitive capacity (Pham 1996; Sanbonmatsu and Kardes 1988; Sengupta and Johar 2001).

These observations lead to a quite counterintuitive notion, which is that severe failures may actually help high-equity brands in the immediate failure aftermath because these failures introduce a considerable rush of pressing concerns to sort out and handle. With active thinking devoted primarily to coping issues, a high-equity brand may be somewhat safe (temporarily) from negative reevaluation. Moderate failures, by contrast, may work against high-equity brands by presenting relatively few urgent problems to solve and thereby doing little to impede brand reevaluation, even at the moment of failure recognition.

## Hypotheses

Our reasoning with respect to evaluation timing and failure severity is summarized in the predictions below.

**H1a:** When postfailure evaluation occurs immedi-

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ately after failure has occurred, evaluations of a high-equity brand will be more adversely affected if the failure was moderate than if the failure was severe.

**H1b:** When postfailure evaluation occurs at a delay after a failure has occurred, evaluations of a high-equity brand will be adversely affected, regardless of failure severity.

The foundation for hypotheses 1a and 1b implicates the cognitive resources that can be applied to brand reevaluation as a key factor in whether a high-equity brand maintains or loses equity after a failure. If our reasoning along those lines is accurate, then other factors that may also influence resource availability should produce similar outcomes. In study 2, we thus substitute distraction for severity and predict analogous results.

**H2:** When postfailure evaluation occurs immediately after a failure has occurred, evaluations of a high-equity brand will be more adversely affected if there is low distraction in the environment than if there is high distraction in the environment.

It may be noted that the focus of our discussion has to this point remained on high-equity brands. It is expected that the effects we have predicted will be largely constrained to brands with high equity prior to failure because these brands have significant stature to lose. By contrast, low-equity brands, which are definitionally those for which consumers can access relatively few positive associations, may experience comparatively little change in the wake of a performance failure. Knowing fairly little about the brand prior to an interaction with it may suggest little in the way of performance expectations that would be mismatched by a failure. Disappointment may thus be comparatively minimal, and evaluations of the brand may change only negligibly as a result of the failed engagement. Therefore, we predict:

**H3:** Evaluations of a failed low-equity brand will not differ as a function of evaluation timing, failure severity, or environmental distraction.

# STUDY 1

## Method

A total of 116 graduate business students were recruited for participation via fliers posted in public spaces, which described the study as "exploring product experiences that consumers have." As an incentive, respondents were entered into a drawing in which five restaurant gift certificates (valued at $40 each) were given away.

The context for the study was a real-world failure that involved a sandwich catering service. Specifically, respondents were promised delivery of a lunchtime meal that, during the course of the study, was found to be delayed. This lunch setting was chosen because it was expected to be familiar to the respondent pool. The decision to focus on an actual rather than hypothetical failure arose from a desire for ecological validity. At the same time, the controlled environment in which the failure was staged allowed for the protection of internal validity.

Three variables were manipulated: brand equity, failure severity, and evaluation timing. Brand equity was varied by announcing that lunch would be catered either by a sandwich shop that is popular with graduate students (high-equity condition) or a relatively obscure university-affiliated catering service (low-equity condition). The high- and low-equity food delivery brands were selected and verified via two pretests with graduate business students at the same university as the main study. In the first pretest, 20 respondents rated nine sandwich delivery brands on "how much brand equity" each possessed. The brands with the highest and lowest scores were then rated by 14 business students on a brand-equity scale containing five items ($\alpha = .77$) that were similar to ones advanced by Rust, Zeithaml, and Lemon (2000). Examples include, "How loyal are you to this lunch service?" (1 = "not at all loyal," 7 = "very loyal") and "What kind of attitude do you have about this lunch service?" (1 = "negative attitude," 7 = "positive attitude"). Results of a repeated-measures ANOVA test supported the high- and low-equity brands' intuitive designations. More specifically, the sandwich shop delivery brand that was selected to represent high equity was rated significantly higher on the brand-equity scale ($M = 5.01$) than the low-equity sandwich shop brand ($M = 2.71$; $\lambda = .32$, $F(1, 13) = 27.28$, $p < .01$).

Failure severity was manipulated by estimating the delay at either 90 minutes (severe) or 30 minutes (moderate). The choice of these time frames was based on class scheduling for the respondents. Whereas a 30-minute delay would allow lunch to be consumed before the next class period, a 90-minute delay prevented consumption until after the next class concluded. This distinction was expected to be meaningful to hungry informants. Ratings of the magnitude of the delivery failure were taken on two seven-point bipolar scales labeled with "severe/not severe" and "extreme/not extreme." Reliability for the severity measures was high ($r = .82$).

Finally, the manipulation of evaluation timing was accomplished as follows: Respondents in the immediate condition received a survey instrument directly after learning that the lunch delivery was delayed. Participants in the delayed condition sat quietly for 10 minutes after hearing the lunch news and then completed the survey. To balance operations, individuals in the immediate evaluation condition sat quietly for 10 minutes after completing the survey.

Primary dependent measures for the study were satisfaction ratings for the lunch provider brand. Three items derived from prior research (Oliver 1997) were responded to on seven-point Likert scales (1 = "strongly disagree," 7 = "strongly agree"): "I am happy about the decision to use this lunch service," "I believe the right thing was done when

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it was decided to use this lunch service," and "Overall, I am satisfied with the decision to use this lunch service." Satisfaction was rated both before and after the delivery problem was announced, enabling an examination of equity prior to and after the failure's occurrence ($\alpha_{\text{prefailure}} = .78$, $\alpha_{\text{postfailure}} = .79$).

Thoughts about the focal food brand were also collected. These enabled examination of our assumption that failure ignites consideration of the problem and coping strategies and that these thoughts may sometimes compete with re-evaluation of the failed brand.

*Specific Procedures.* Participants received "reminder e-mails" the day before the experiment. These messages listed respondents' assigned study times and informed them that because the study would occur at lunchtime and food would be served at the beginning of the session, they needed to reply with a sandwich preference. The provider of the food was named in the e-mail, introducing the brand-equity manipulation.

On the day of the study, an announcement reiterating the food provider's identity was made at the beginning of the experimental session in order to reinforce the brand-equity manipulation. Respondents then reported their satisfaction with the focal food brand, thereby providing a baseline, prefailure assessment of brand equity that may thus serve as another check on this manipulation.

Following this, respondents engaged in an unrelated distracter task that took about 5 minutes and was intended to clear short-term memory of the initial brand evaluations. Upon completion, the distracter task and prefailure evaluations were collected by the lab administrator so that they could not be referenced during the main portion of the study.

Next, a new announcement specified that lunch delivery was delayed, which instantiated the performance failure. The stated duration of the holdup varied across conditions to produce a severe or moderate failure. Respondents in the immediate evaluation condition then completed their survey booklet. Those in the delayed evaluation condition did so after 10 minutes.

Within the survey instrument, participants were first asked to list their thoughts about the focal food brand. They then rated customer satisfaction. Finally, participants rated the magnitude of the brand's delivery failure. Lunch appeared after the surveys were completed.

*Experimental Design and Predictions.* The design for study 1 was 2 (brand equity: high, low) × 2 (failure type: severe, moderate) × 2 (evaluation timing: immediate, delayed). All variables were manipulated between subjects. Respondents were randomly assigned to conditions and fully debriefed after the experimental session.

Hypothesis 1a suggests that for the high-equity brand, postfailure evaluations collected immediately after a moderate failure was announced should be less positive than prefailure evaluations, though not so if it was severe. Hypothesis 1b indicates that postfailure evaluations taken in the delayed evaluation condition should be less positive than the prefailure evaluations, irrespective of the severity of the failure. Finally, hypothesis 3 implies that pre- and postfailure evaluations for the low-equity brand are unlikely to differ, regardless of experimental condition.

## Results

*Manipulation Checks.* The brand-equity manipulation was checked via ANOVA on the prefailure satisfaction ratings. Results indicated only an anticipated main effect ($F(1, 108) = 18.79$, $p < .01$) such that scores were higher for the brand that was expected to represent high equity ($M_{\text{satisfaction}} = 3.69$) than for the brand representing low equity ($M_{\text{satisfaction}} = 2.83$).

Ratings of failure magnitude served as a manipulation check on our severity conditions. ANOVA on these ratings indicated that, as expected, the failure was rated as more severe in the severe ($M = 5.17$) versus the moderate condition ($M = 3.16$, $F(1, 108) = 70.11$, $p < .01$).

Finally, the intuition that severity and evaluation timing could constrain the attention devoted to brand evaluation was checked via analyses of thoughts. Two assistants, who were blind to conditions, were instructed to count numbers of thoughts in total, numbers about coping with the failure, and numbers expressing evaluations or assessments of the focal brands. Agreement between the coders was strong ($r = .94$). Disagreements were resolved by discussion.

For both the evaluative and coping thoughts measures, the highest-order effect was a two-way interaction between evaluation timing and failure severity ($F_{\text{coping}}(1, 108) = 4.47$, $p < .04$; $F_{\text{evaluative}}(1, 108) = 17.06$, $p < .01$). Contrasts indicate that within the immediate condition, more coping thoughts were listed in the severe ($M = 2.34$) than the moderate failure condition ($M = 1.44$, $F(1, 112) = 14.16$, $p < .01$). At the same time, fewer brand evaluative thoughts were listed in the severe condition ($M = 1.10$) than in the moderate condition ($M = 2.28$, $F(1,112) = 42.31$, $p < .01$). These results support our assumption that immediate reactions to severe failures compromise the attention devoted to brand evaluation, as coping thoughts take priority.

In the delayed evaluation condition, there was no significant difference ($p > .47$) in numbers of coping thoughts or evaluative thoughts as a function of failure severity ($M_{\text{coping}} = 2.81$, $M_{\text{evaluative}} = 1.53$). This aligns with our expectation that with sufficient time, consideration can be given to both types of thoughts, regardless of failure magnitude. More broadly, the logic that the extra passage of time in the delayed evaluation enabled more thinking to occur overall is consistent with the observation of a main effect for evaluation timing on total numbers of thoughts ($F(1, 108) = 23.35$, $p < .01$). More thoughts as a whole were reported in the delayed ($M = 5.67$) condition than in the immediate condition ($M = 4.60$).

*Evaluations.* We analyzed postfailure evaluations and also compared them to prefailure evaluations to ascertain whether changes had occurred as a function of the failure episode. The comparisons were achieved via examination

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**TABLE 1**

STUDY 1 RESULTS BY EXPERIMENTAL CELL

| | High-equity brand | | | | Low-equity brand | | | |
|---|---|---|---|---|---|---|---|---|
| | Moderate failure | | Severe failure | | Moderate failure | | Severe failure | |
| | Immediate evaluation | Delayed evaluation | Immediate evaluation | Delayed evaluation | Immediate evaluation | Delayed evaluation | Immediate evaluation | Delayed evaluation |
| Postfailure evaluations | 1.88 (.86) | 2.38 (.89) | 3.71 (1.11) | 1.62 (.65) | 2.73 (1.07) | 2.73 (1.07) | 2.40 (.69) | 2.90 (1.04) |
| Difference scores | −1.72 (1.54) | −1.26 (1.51) | .05 (1.19) | −2.08 (1.37) | −.38 (1.12) | −.02 (1.13) | −.07 (.77) | .15 (1.12) |
| Correlations | −.28 | −.16 | .42 | −.10 | .54 | .46 | .54 | .30 |

NOTE.—Standard deviations are provided in parentheses.

of correlations and by calculating difference scores. Positive correlations suggest little change in brand evaluations from before to after the failure, whereas negative correlations suggest that postfailure evaluations have moved away from the valence of the prefailure ratings. To compute the difference scores, prefailure evaluations were subtracted from postfailure ratings. Negative values thus indicate drops in equity as a function of the failure. Means and correlations for study 1 appear in table 1.

ANOVA revealed a three-way interaction between brand equity, failure severity, and evaluation timing on the postfailure evaluations and on the difference scores ($F_{\text{postfailure}}(1, 108) = 19.47$, $p < .01$; $F_{\text{difference}}(1, 108) = 5.97$, $p < .02$). Following the logic of our hypotheses, our primary follow-up analyses occurred within brand-equity conditions.

Within the high-equity condition, there were interactions between severity and evaluation timing ($F_{\text{postfailure}}(1, 54) = 30.23$, $p < .01$; $F_{\text{difference}}(1, 54) = 11.79$, $p < .01$). Contrasts on the difference scores indicate that when evaluations were collected immediately after failure onset, a larger and more negative change occurred in response to the moderate failure than the severe failure ($F(1, 108) = 13.78$, $p < .01$). Moreover, correlations between prefailure and immediate postfailure evaluations were negative in the moderate failure treatment, which is consistent with a negative shift in valence. Conversely, correlations were positive in the severe treatment, which implies that little shifting occurred. The difference in these two correlations approached conventional significance ($Z = -1.72$, $p < .08$). These findings are consistent with hypothesis 1a in implying a decrease in evaluations of the high-equity brand in the moderate condition, but very little alteration in response to the severe failure. As a result of the negative shift in the moderate condition, immediate postfailure brand evaluations were perhaps surprisingly less positive after the moderate failure rather than the severe failure ($F(1, 108) = 27.34$, $p < .01$).

When postfailure evaluations of the high-equity brand were collected after a delay, both moderate and severe failures resulted in a negative shift in brand evaluations, as evidenced by the negative difference scores and negative correlations in these cells. These results fit nicely with hypothesis 1b, which predicts an adverse effect on brand evaluations, irrespective of failure type. It was also found that the magnitude of negative change was more dramatic for the severe failure than the moderate failure ($F(1, 108) = 3.20$, $p < .07$), resulting in postfailure evaluations that were less positive for the severe failure than the moderate failure ($F(1, 108) = 4.70$, $p < .03$). The less positive scores for the severe failure are believed to reflect its more dire nature.

Within the low-equity condition, there were no significant differences by severity or evaluation timing condition on difference scores, postfailure evaluations, or correlations between pre- and postfailure evaluations ($p > .34$). Near-zero means on the difference scores indicate that little change occurred from pre- to postfailure evaluations, and this interpretation is also supported by positive correlations between the pre- and postfailure evaluations for the low-equity brand in general. Consequently, postfailure evaluations were similar for the low-equity brand across treatments. These findings mesh with hypothesis 3, which anticipates that the effects predicted for the high-equity brand will not carry over to the low-equity brand.

To supplement these analyses, we sought further insights by examining our data within the evaluation timing condition. Interactions between brand equity and failure severity emerged in the immediate evaluation condition ($F_{\text{postfailure}}(1, 54) = 18.40$, $p < .01$; $F_{\text{difference}}(1, 54) = 5.10$, $p < .03$). Further analysis indicated that the severe failure produced near-zero difference scores and positive correlations for both the high- and low-equity brands, indicating negligible changes in evaluations from before to after the failure. Neither the size of the difference score nor the size of the correlation between pre- and postfailure evaluations differed by equity level ($p > .72$). These findings align with our premise that severe failures will generally diminish capacity to engage in immediate reevaluation. Postfailure evaluations were significantly more positive for the high-equity brand than the low-equity brand ($F(1,108) = 13.93$, $p < .01$), which simply reflects their logical a priori evaluative ordering.

Within the moderate failure condition, difference scores for the immediate evaluations indicate significantly more negative change for the high-equity brand than the low-equity brand ($F(1, 108) = 8.38$, $p < .01$), which reflects our philosophy that high-equity brands are more likely than low-

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equity brands to be harmed by failure. Negative and positive correlations between pre- and postfailure evaluations for the high-equity and low-equity brands, respectively, are consistent with this interpretation. The high-equity versus low-equity correlations differed significantly ($Z = -2.09$, $p < .04$). The change in the high-equity condition, coupled with the negligible shift in the low-equity condition, led to postfailure evaluations that were less positive for the high-equity brand than the low-equity brand ($F(1,108) = 5.93$, $p < .02$). Thus, it appears that a high-equity brand can be damaged by a moderate failure enough to emerge even less well regarded than a low-equity brand.

Moving to the delayed evaluation condition, for the difference scores, only a main effect for brand equity emerged ($F_{\text{difference}}(1, 54) = 23.87$, $p < .01$). Near-zero difference scores and positive correlations indicate little change for the low-equity brand, whereas a large negative score and negative correlations suggest a dramatic negative change for the high-equity brand. These correlations differed significantly ($Z = -1.98$, $p < .05$). The lack of interaction with failure severity aligns with the notion that postponing the evaluation provided sufficient opportunity to absorb the failure (whether large or small), consider coping responses, and still engage in brand reevaluation as well. The one-sided shifting again resulted in postfailure evaluations that were less positive for the high-equity brand than the low-equity brand ($F(1,54) = 11.23$, $p < .01$).

## Discussion

Study 1 has produced a rich pattern of results in relationship to brands and failures. Postfailure evaluations of high-equity brands appear to suffer from failure unless something in the situation (e.g., the magnitude of the failure itself, the immediacy of evaluation) detracts from the thought that can be devoted to brand reevaluation. Specifically, when either the judgment is postponed or when a failure is more moderate and thus deflects relatively little attention to coping, the burden of high equity—and the standards it implies—may be more prominent. By contrast, low-equity brands appear to be no better or worse off after a failure.

When negative reevaluation of a high-equity brand occurred, it produced some remarkable relationships with respect to benchmarks that were available within our experimental design. For example, we found that on immediate evaluations, a high-equity brand was rated lower than a low-equity brand after a moderate failure and also after any failure when evaluation was delayed. Another counterintuitive finding was that immediate evaluations of a high-equity brand were less positive after a moderate failure than after a severe failure.

In considering ways to extend study 1, we noted that our theorizing entails two assumptions that merit further examination. One of these is the idea that a high-equity brand's evaluations drop after failure because it fails to live up to relatively high expectations. To probe this assertion, we conducted a pilot study with 81 participants who role-played a failure and reported postfailure evaluations and level of agreement with statements such as, "I expected much more from [the brand] before this problem arose," which may reflect unmet expectations. As anticipated, results indicated that there was stronger agreement that a failed performance did not meet expectations when a brand had high ($M = 4.78$) rather than low prefailure equity ($M = 2.80$, $F(1, 79) = 26.26$, $p < .01$). We also found that high-equity brands' postfailure evaluations correlated more strongly and negatively with agreement that expectations had not been met when a failure was moderate ($r = -.59$) rather than severe ($r = -.03$, $Z = -1.89$, $p < .06$). This is consistent with our contention that moderate failures allow expectations to be considered and held against a brand during reevaluation, whereas severe failures limit the ability to do so. For low-equity brands, the relationships were generally weak, regardless of failure size ($r = .06$).

A second assumption underlying the current theorizing is that cognitive resources underlie the differential results observed for high-equity brands suffering severe versus moderate failures. Although findings consistent with this premise were reported in study 1, the possibility remains that some other factor that also varies with severity—rather than limitations on available cognitive resources—may instead have been responsible for our results. To confront this possibility, study 2 substitutes for severity a quite different variable, namely, distraction, which may also be expected to affect the capacity to engage in brand reevaluation in the wake of failure. If results for distraction mimic those observed for severity, confidence increases that one of the few aspects they hold in common, cognitive resources, underlies our observed results.

# STUDY 2

## Method

A total of 59 participants completed the study. They were recruited and incented as in study 1. The failure context was also duplicated from study 1.

Distraction and brand equity were the independent variables included in study 2. To constrain the size of the experimental design, evaluation timing was held constant at immediate. Distraction was manipulated via television. In the high-distraction condition, a television in the lab setting played a station known to be popular with graduate business students. No television was present in the low-distraction condition. In a manipulation check pretest, 28 respondents rated the level of environmental distraction with a television showing the same programming as in the main study versus with no television present. Response items were worded as follows: "It is hard to concentrate in this room," and "I feel distracted in this environment" ($r = .86$; 1–7 scales anchored by "agree" and "disagree"). Distraction was judged to be greater with the television on ($M = 5.21$) rather than absent ($M = 3.00$, $F(1, 26) = 17.72$, $p < .01$).

Remaining procedures were drawn from study 1. Thoughts and postfailure satisfaction ratings were obtained

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immediately after the lunch service delay was announced. The evaluations served as the primary dependent measure ($\alpha = .83$).

The study design was 2 (brand equity: high, low) × 2 (distraction: high, low) factorial. All variables were manipulated between subjects. Assignment to conditions was random.

The central prediction of interest arose from hypothesis 2. Specifically, it was expected that postfailure evaluations of the high-equity brand would be more negative in the low-distraction condition than in the high-distraction condition.

## Results

*Manipulation Check.* The assumed connection between distraction and attention given to immediate postfailure brand evaluation was checked via analyses of thoughts collected after exposure to the failure. Data for the thoughts measure were coded by two assistants, blind to our hypotheses, who were instructed to count the number of brand evaluative thoughts expressed by each participant. Agreement between the coders was high ($r = .88$), and disagreements were resolved by discussion. Results revealed that respondents in the high-distraction condition reported fewer thoughts about brand evaluation ($M = .87$) than those in the low-distraction condition ($M = 1.93$, $F(1, 57) = 12.99$, $p < .01$). These results support our interpretation of distraction as a limiter of attention given to brand evaluation in the wake of failure.

*Evaluations.* ANOVA was conducted on the postfailure evaluations, with brand equity and distraction condition as independent variables. The interaction was significant ($F(1, 55) = 20.10$, $p < .01$). Means indicate that within the high-equity condition, postfailure evaluations were less positive with low ($M = 1.76$) rather than high environmental distraction ($M = 3.58$, $F(1, 55) = 28.80$, $p < .01$). These findings parallel results observed for severity and are consistent with the prediction of hypothesis 2. By contrast, within the low-equity condition, there were no differences in evaluations as a function of distraction level ($p > .36$). This finding is consistent with hypothesis 3.

Further analysis also revealed that in the high-distraction condition, postfailure scores were higher for the high-equity brand than the low-equity brand ($M = 3.58$ vs. 2.38, $F(1, 55) = 28.80$, $p < .01$). By contrast, within the low-distraction condition, scores were lower for the high-equity brand than the low-equity brand ($M = 1.76$ vs. 2.68, $F(1, 55) = 7.50$, $p < .01$). These findings again mimic results observed for severity in study 1, where the high-equity brand was rated stronger than the low-equity brand after a severe failure, but the reverse was true after a moderate failure. We argue that severe failures and high distraction both limit the opportunities for negative reevaluation of the brand, whereas moderate failures and low distraction are more accommodating to reevaluation. As before, it appears that when enabled, the reconsideration can actually lead the high-equity brand to be less well regarded than the low-equity brand.

## Discussion

The results are consistent with our expectations regarding brand equity, distractions, and reactions to performance failure. The conceptual replication of findings across studies 1 and 2 suggests that one of the few dimensions shared by distraction and failure severity, the cognitive resources available for brand evaluation, remains the preferred explanation for our data patterns.

# GENERAL DISCUSSION

When it comes to performance failures, brand equity may offer mixed blessings in shaping consumers' responses. The fact that we may be especially disappointed when high-equity brands fail is fairly intuitive. In a recent convenience survey of 64 service executives, more than 75% predicted that American Airlines would be in a more precarious position than Spirit Airlines after similar failure scenarios.

Certainly, our findings support this viewpoint, but they also indicate that it may not universally hold true. An important moderating factor appears to be whether aspects of the failure or the failure context limit attention to brand evaluation. To wit, customers did not penalize a high-equity brand when an evaluation was made immediately after learning of the failure and when that failure was severe or there was a prominent distraction in the environment.

The implications of these findings are numerous. Contemporary discussions of brand equity are often positive in tone, pointing out that high-equity firms are rewarded with such benefits as loyal customers and price premiums. However, most studies supporting these effects implicitly assume satisfactory product performance (for an exception, see Aaker, Fournier, and Brasel [2004]). Our investigation diverges from the norm in relating to unsatisfying encounters. In doing so, we thus extend our understanding of the range of consequences that may be attributed to brand equity. Perhaps the most provocative message arising from our data is the idea that despite its many advantages, higher brand equity can sometimes be a burden.

Our findings have important practical implications, particularly for service managers. It is estimated that more than half of service customer switching behavior is the result of service failure or inadequate firm response to failure (Keaveney 1995). This may partially explain why customer churn in U.S. companies may typically be 50% over 5 years (Reichheld 1996).

Service firms can leverage our findings to understand the circumstances that moderate negative fallout from failures. We find that investment in brand equity offers a form of insurance against backlash from severe lapses, particularly when immediate customer responses are anticipated. However, our data suggest that once the cognitive buffer expires and consumers begin to reevaluate the brand in light of the failure, a high-equity brand is in grave danger. The need to

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identify failures and "beat the clock" in resolving them underscores the wisdom of actively encouraging complaints and having easy ways for customers to alert you to their pain (Andreassen 2000). As an example of a relevant strategy, some airlines have experimented with complaint kiosks in airport terminals where consumers can complain on the spot without the anxiety associated with delivering bad news in person (Brown 2000).

Since the majority of service failures are reported to frontline staff (Tax and Brown 1998), another useful strategy that our findings validate is the empowerment of employees to address failures as they occur. Hampton Inn puts this idea to work by allowing every hotel staffer to offer an immediate refund on a guest's stay if dissatisfaction is expressed. The firm estimates that for every dollar refunded, it earns seven in future revenues (Stoller 2005). Along similar lines, JetBlue authorizes gate staff to dispense a $100 voucher for avoidable delays of more than 2 hours. Agents can also offer a voucher for full ticket price if the delay exceeds 5 hours. Our results support such an initiative, provided the agents act quickly. If JetBlue were to wait to offer vouchers until after the 2- or 5-hour periods elapse, the damage may well be done.

A different approach is required for moderate failures and delayed responses, wherein higher brand equity actually puts a firm at a disadvantage. A key message is thus that firms with higher brand equity should not disregard failures that seem relatively innocuous. Indeed, it is these smaller problems that can have insidious effects on a brand's well-being. This observation may be particularly unsettling for service firms, as most dissatisfied service customers do not complain to the offending firm (Voorhees, Brady, and Horowitz 2006).

What then can service managers do to minimize damage from relatively minor failures? One approach is to make sure that there is a positive cost/benefit trade-off to entering the complaint, regardless of the failure severity. One study found that more than 55% of those who did not complain felt that it was not worth the effort to do so (Davidow and Dacin 1997). Another approach is to communicate the importance of receiving complaints. For example, a bank in Maine offers its customers a one dollar reward for suggesting ways to improve service. Another bank distributes pamphlets that explain its complaint process and lists the phone number of the bank vice president (Tax and Brown 1998). Such strategies not only ease the customers' burden, they send a clear message about the value the firm attributes to the identification and resolution of service failures.

A more proactive approach to failure management is to develop an organizational culture in which failures are engineered out of the production system (Firnstahl 1989). Managers in such a system might track the number and origin of service failures, categorize by severity, and use the data to identify trends (Reichheld 1996). Persistent failures would become candidates for process redesign or supplemental employee training.

Tactically speaking, our experiments also ratify investments in contextual niceties, such as televisions or other distracters—perhaps entertaining staff (e.g., Southwest Airlines), amusing servicescapes (e.g., Rain Forest Cafe), complimentary food or beverages, and so forth. Such devices appear to hold promise for moderating the onset of negative reactions that can befall a high-equity brand if consumers are left to ruminate on the brand's shortcomings.

Numerous research opportunities loom ahead in this arena. For example, questions remain regarding failure magnitude. Although we have contrasted two quite different levels of severity, more extreme failures can certainly be imagined (e.g., an airline experiencing a catastrophic crash). Our data do not permit us to extrapolate to failures that are truly disastrous, and thus we encourage future researchers to explore the role of brand equity in reacting to such conditions. It may be found that disastrous failures usurp even more resources than our severe failures and thus that the halo benefits of high equity will be extended. Alternatively, cataclysmic failures may prove to be cognitive motivators that prompt the devotion of extra energy to the evaluation process, thereby facilitating the burdensome effects observed in our studies.

Another avenue for future research would be to probe more carefully the dynamics of low-equity brands. The data across our two studies exhibit little reaction to failures by low-equity brands. However, our ability to draw any strong conclusions about low-equity brands is hindered by the dangers of overinterpreting null effects. Further study is warranted of these sorts of brands, particularly with an eye toward identifying mediators and boundary conditions for the lack of change that we have documented.

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